CORPORATE REPORTING

Suggested Answers

July-August 2023

Answer to the Question# 1:

Circle Consolidated Statement of Financial Position as at 31 December 2022	
	BDT '000
Assets	
Non-current assets	
Property plant and equipment (12,000+172,500+128,250)	312,750
Intangible assets (6,750+1,875+10,750)	19,375
Investment in subsidiary (W7)	11,700
Goodwill (W2) (17,500 + 18,300)	35,800
Total non-current assets	**379,625**
Current assets	
Inventory (94+107,000+102,500-8-4)	209,582
Receivables (2,531+16,500+15,000-80-60-2,025)	31,866
Cash and bank (7,000+4,375+29,375)	40,750
Total current assets	**282,198**
Total assets	**661,823**
Equity & Liabilities	
Equity	
Share capital	2,000
Retained earnings (W3)	273,691
Other reserves (W4)	61,400
Equity of parent	**337,091**
Non-controlling interest (W5)	171,497
Total equity	**508,706**
Non-current liabilities	
Long term borrowing (45,000+45,000+65,000-45,000)	**110,000**
Current liabilities	
Short term borrowing (3,200+2,500+8,500-2,025)	12,175
Payables (6,075+18,750+6,375-80-60)	31,060
Total current liabilities	**43,235**
Total equity and liabilities	**661,823**

Circle Ltd. Consolidated Statement of Profit or Loss for the year ended 31 December 2022	
	BDT '000
Sales (500,375+70,000-270-120)	569,985
Cost of sales (263125+52500-270-120+8+4) (W3)	-315,247
Gross profit	**254,738**
Other income (107,000+120,750+98,125-220-150-2025)	323,480
Administration cost (2,300+115,000+50,000-220-150)	-166,930
Selling expenses	-57,500
Depreciation and amortization (1,813+25,875+19,250)	-46,938
Finance cost (91,250+65,000+5,250-2,025)	-159,475
Goodwill impaired (7,000 + 8,500)	-15,500
Profit/(loss) before tax	**131,876**
Income tax expense (6,063+84,000+19,500)	-109,563

Profit for the year	**22,313**
Attributable to:	
Parent (Balance)	16,636
Non-controlling interest (W5)	5,677
	22,313

WORKINGS:

W1. Structure of ownership

Structure of ownership	Oval Ltd.	Star Ltd.	Star Ltd (effective)
Circle Ltd (direct holding)	70%	30%	30%
Oval (direct holding in Star) and Circle's indirect holding in Star		50%	35%
Circle's total effective holding in Star (30% + 35%)			**65%**
Non-controlling interest	30%		35%
	100%		**100%**

W2 Goodwill Calculation

	Oval Ltd. BDT '000	Star Ltd. BDT '000
Fair value – consideration	75,000	23,000
Fair value - consideration (39Mn x 70%)		27,300
Fair value - non-controlling interest [23 x 5m x 30%] [30 x 3m x 35%]	34,500	31,500
Less: Fair Value of net assets acquired		
Share capital	-50,000	-30,000
Retained earnings	-35,000	-25,000
Goodwill at acquisition	**24,500**	**26,800**
Goodwill impaired in this year	-7,000	-8,500
Goodwill balance	**17,500**	**18,300**

W3. Consolidated Retained earnings

	Circle Ltd. BDT '000	Oval Ltd. BDT '000	Star Ltd. BDT '000
As reported	74,600	210,000	160,000
Pre-acquisition		-35,000	-25,000
Goodwill impaired		-7,000	-8,500
Management fees UP on inventory	-370	220	150
[40m x 25/125] [20m x 25/125]		-8	-4
Interest cost (Circle's bank loan) (W6)	-2,025	2,025	
Total	***72,205***	***170,237***	***126,646***
Parents share of subsidiaries' post acquisition R/E [70%x170,237] [65%x126,646]	201,486	119,166	82,320
R/E at 31 December 2022	**273,691**		

W4. Consolidated Other reserves

	Circle Ltd. BDT '000	Oval Ltd. BDT '000	Star Ltd. BDT '000
As reported	40,500	15,000	16,000
Parents share [70%x15,000] [65%x16,000]	20,900	10,500	10,400

Total consolidated	**61,400**

W5. Non-controlling interest

NCI Balance in Group Equity	**Total** BDT '000	**Oval Ltd.** BDT '000	**Star Ltd.** BDT '000
At acquisition (W2)	66,000	34,500	31,500
NCI share of post-acquisition retained earnings (W3)	95,279	51,071	44,326
NCI share of post-acquisition other reserves (W4)	10,100	4,500	5,600
Balance c/f	**171,497**	**90,071**	**81,426**

NCI share of Group profit for the year	**Total** BDT '000	**Oval Ltd.** BDT '000	**Star Ltd.** BDT '000
Profits for the year (as reported)			
Oval Ltd (10,625x30%)	10,756	3,188	7,569
Star Ltd (21,625x35%)			
Goodwill impaired			
Oval Ltd (7,000x30%)	-2,100	-2,100	
Star Ltd (8,500x35%)	-2,975		-2,975
UP on inventory			
30%[40m x 25/125] + 35%[20m x 25/125]	-4	-2.4	-1.4
	5,677	**1,085**	**4,592**

W6: Bank Loan & Intra-Group Loan

Circle's loan from Bank	
Loan from the Bank	45,000
Interest cost (based on effective interest rate of 18% - 3 months Oct-Dec) [18%x45000x3/12]	2,025
Bank Loan balance (31 Dec 2022)	**47,025**
Circle's loan to Oval	
Intra group loan to cancel	45,000
Intra group interest to cancel [18%x45000x3/12]	2,025

W-7: Investment in subsidiary

Investment in Oval will be eliminated in Consolidated F/S

However , Oval's NCI portion of Investment in Star Limited will be there

Investment (39,000 mn X 30%)	11,700

Answer to the Question# 2(a):

Housing Facility to Mr. Karim:

SFL Agreed to provide housing facilities to Mr. Karim and accordingly rented a house of Mr. Karim's preference for 3 years with an annual rental of BDT 1,200,000. The rental is in the name of SFL, and the rent is for more than 1 years. Accordingly, it meets the create of lease under IFRS 16. However, the rent is for the purpose of providing housing facilities to Mr. Karim as employee benefit. Furthermore, the Mr. Karim is the actual beneficiary of the rent. Even he has the control to terminate the lease by preferring alternative accommodation. Based on these fact pattern, rent payment to SHL should not be considered as lease rather it should be considered as employee benefit paid to Mr. Karim. Therefore, Mr. Aftab should post following entry for each rental payment:

Employee Benefit Expenses	Dr.	1,200,000	
Bank/Cash Credit	Cr.		1,200,000

Rental of car:

SFL has bought a car for BDT 4,500,000 and rented the car. The car has the useful life of 6 years and has been rented for 5 years with an annual Rental of 1,000,000. Present value of the lease payments are:

$$1{,}000{,}000 + \frac{1{,}000{,}000}{1.1} + \frac{1{,}000{,}000}{1.1^2} + \frac{1{,}000{,}000}{1.1^3} + \frac{1{,}000{,}000}{1.1^4} = 4{,}169{,}865.$$

As SFL is renting out the car, SFL is the lessor and accordingly it should determine whether the lease should be an operating lease or a finance lease. In this case, rent period will be for 5 years of useful life of 6 years. Furthermore, the present value of the rental payments is almost equal or substantially all to the car's fair value/ purchased price.

Because the lease period covers most of the useful life and the present value of the lease payments is substantially all of the fair value, SFL should consider the car rental should be considered as Finance lease. Accordingly, SFL should derecognize the car and recognize a receivable with the amount of present value of rental payments. SFL should post following entry:

Rent Receivables	Dr.	4,169,865	
Loss on lease	Dr.	330,135	
Vehicle	Cr.		4,500,000

As rents are received in advance, SFL should reduce the rent receivable with the amount of rent received. In this case, following entry should be posted.

Cash	Dr.	1,000,000	
Rent Receivables	Cr.		1,000,000.

At the end of the reporting period, SFL should recognize a rental income on the outstanding rent receivables. In this case, following entry should be posted.

Cash	Dr.	1,000,000	
Rent Receivables	Cr.		416,987
Rental Income	Cr.		583,013

Rental of car:

SFL sold a warehouse to DFL for BDT 15,000,000 and immediately rented back 6 years. This falls within the scope of sale and leaseback transaction. Book value of the warehouse of was BDT 12,500,000. Total gain from sale of the warehouse is (15,000,000 - 12,500,000) = BDT 2,500,000. As for the lease, present value of the lease payments is

$$1{,}800{,}000 + \frac{1{,}800{,}000}{1.1} + \frac{1{,}800{,}000}{1.1^2} + \frac{1{,}800{,}000}{1.1^3} + \frac{1{,}800{,}000}{1.1^4} + \frac{1{,}800{,}000}{1.1^5} = 8{,}623{,}416.$$

SFL should measures the right-of-use asset retained through the leaseback as a proportion of the original book value of the warehouse. This can be calculated as (12,500,000 X 8,623,416/15,000,000) = 7,186,180. Therefore, SFL should recognize a right-of-use asset amounting to BDT 7,186,180.

SFL should also recognises a portion of the total gain on the sale, to the extent it relates to the rights retained with the warehouse by DDL at the end of the leaseback period. The total gain on sale of BDT 2,500,000 should be split between the portion relates to right retained by SFL and the portion relating to the right retained by DDL. SFL's portion of right shall be considered as part of lease liabilities and DDL's portion shall be considered as grain on sale.

The portion relating to the rights to use the warehouse retained by SFL should be calculated as BDT 2,500,000 x (8,623,416/15,000,000) = 1,437,236; and

The portion relating to DDL's rights in the warehouse at the end of the leaseback should be calculated as BDT 2,500,000 x {(15,000,000 - 8,623,416)/15,000,000} = 1,062,764.

In summary, SFL should recognise ROU asset of BDT 7,186,180, Lease Liability of (7,186,180+1,437,236) = 8,623,416, and gain on sale of warehouse as BDT 1,062,764.

SFL should post following entry:

ROU Asset	Dr.	7,186,180	
Cash	Dr.	15,000,000	
Lease Liabilities	Cr.		8,623,416
Warehouse	Cr.		12,500,000
Gain on sale	Cr.		1,062,764

Answer to the Question# 2(b):

i) Fair value of asset

Year to 31 December 2022	**North American Market**	**European market**	**Bangladeshi market**
Volume of market – units	4m	2m	1m
	BDT	BDT	BDT
Price	19	16	22
Costs of entering the market	(2)	(2)	n/a*
Potential fair value	17	14	22
Transaction costs	(1)	(2)	(2)
Net profit	16	12	20

***Notes**

(i) Because DES currently buys and sells the asset in the Bangladeshi market, the costs of entering that market are not incurred and therefore not relevant.

(ii) Fair value is not adjusted for transaction costs. Under IFRS 13, these are not a feature of the asset or liability, but may be taken into account when determining the most advantageous market.

(iii) The North American market is the principal market for the asset because it is the market with the greatest volume and level of activity for the asset. If information about the North American market is available and DES can access the market, then DES should base its fair value on this market. Based on the North American market, the fair value of the asset would be BDT 17, measured as the price that would be received in that market (BDT 19) less costs of entering the market (BDT 2) and ignoring transaction costs.

(iv) If information about the North American market is not available, or if DES cannot access the market, DES must measure the fair value of the asset using the price in the most advantageous market. The most advantageous market is the market that maximises the amount that would be received to sell the asset, after taking into account both transaction costs and usually also costs of entry, that is the net amount that would be received in the respective markets. The most advantageous market here is therefore the Bangladeshi market. As explained above, costs of entry are not relevant here, and so, based on this market, the fair value would be BDT 22.

It is assumed that market participants are independent of each other and knowledgeable, and able and willing to enter into transactions.

ii) Fair value of decommissioning liability

Because this is a business combination, DES must measure the liability at fair value in accordance with IFRS 13, rather than using the best estimate measurement required by IAS 37 *Provisions, contingent liabilities and contingent assets*. In most cases there will be no observable market to provide pricing information. If this is the case here, DES will use **the expected present value technique** to measure the fair value of the decommissioning liability. If DES were contractually committed to transfer its decommissioning liability to a market participant, it would conclude that a market participant would use the inputs as follows, arriving at a **fair value of BDT 3,215,000.**

Input	***Amount***
	BDT '000
Labour and material cost	2,000
Overhead: 30% × 2,000	600

Third party mark-up – industry average: 2,600 × 20%	520
	3,120
Inflation adjusted total (5% compounded over three years): 3,120 × 1.053^3	3,612
Risk adjustment – uncertainty relating to cash flows: 3,612 × 6%	217
	3,829

Discount at risk-free rate plus entity's non-performance risk (4% + 2% = 6%): 3,829 ÷ 1.063 = 3,215

Answer to the Question# 3(a):

Before analysing the financial statements, adjustment should be made based on the findings of due diligence.

1. As the preference shares are redeemable, they should be treated as part of liability instead of equity. So, share capital should be reduced and non-current liability should be increased by 651,665 x 10 =6,516,650.
2. Trade payables includes short-term borrowing of BDT 25,000,000 which should be presented separately from trade payables. Furthermore, as per the agreement with bank, 5% risk premium would be added with outstanding liability in case company ownership changes. As GV will acquire 60% shares of WCL, control will be transferred, and the condition will trigger. Therefore, 5% interest on outstanding liability which is (25,000,000 x 5%) = 1,250,000 should be recognized.
3. Intercompany payables include interest free loan which will trigger 10% interest when ownership changes. Therefore, GV should consider an interest charge of 1,000,000 x 10% = 100,000. Furthermore, this loan should be presented separately as it will no longer be intercompany once GV acquires control of WCL.
4. No adjustment is made for lease discount rate of 8%.
5. No Adjustment is required as of now because rent contract is still valid for around 15 months.

For the adjustments above, financial statements will have following effects:

- Current liabilities will be increased by interest expense/liabilities on bank loan and intercompany loan (1,250,000 + 100,000) = 1,350,000.
- Non-current liability will be increased by redeemable preference share BDT 6,516,650.
- Total equity will be reduced (6,516,650 for preference share + 1,350,000 in accumulated loss for interest expenses) = 7,866,650.
- Profit before loss and Net loss will be increased by 1,350,000.

Analysis of financial statements:

Ratio Analysis:

Ratios	**2022**	**2021**
Short term solvency ratio		
Current Ratio	1.49	1.97
Quick ratio	1.15	1.47
Cash ratio	0.40	0.39
Gearing Ratio	0.65	0.41
Performance ratio		
Return on capital employed	-5.7%	0.7%
Return on assets	-5.5%	-0.6%
Return on equity	-9.1%	-0.9%
Efficiency Ratio		
Asset turnover	107%	95%
Net asset turnover	176%	134%
Profitability Analysis		
GP%	12.6%	14.8%

Net Profit %	-5.2%	-0.7%

Commentary:

Solvency ratios of the entity:

Analysis of the financial statement for 2022 and 2021 shows that WCL has good financial condition. Its current ratio is over 1. That means it has sufficient current assets available to meet the current obligation. However, the current ratio dropped to 1.49 in 2022 from 1.97 in prior year. Although this shows current asset level declined in 2022 but still has sufficient capabilities to pay off current obligation.

Acid test/ quick ratio helps to understand how quick an entity can convert its current assets in case of immediate payment of current liabilities. Analysis of quick ratio for both years quick ratio is 1.15 in 2022 which was 1.47 in earlier year. This indicates that WCL has sufficient liquid asset to pay off its current liabilities despite slight decrease in 2022.

Cash ratio indicates the ability to pay off the current liabilities with available cash only. Analysis shows cash ratio has not changed much from 2021 to 2022. Cash ratio was 0.39 in 2021 and 0.4 in 2022. This means WCL has cash to meet almost 40% of the current liabilities.

Solvency ratio analysis shows that WCL has strong liquidity position. Its current assets are sufficient to meet the current obligations. WCL has maintained a healthy working capital for running daily operations.
Based on the revised financial statements, gearing ratio for 2021 is 0.41 whereas the same ratio for 2022 is 0.61. This shows that WCL has increased its gearing from earlier years. WCL has nearly 2 times debt in its capital structure.

Performance ratios of the entity:

From the Analysis on return on capital employed, it shows that return has significantly deteriorated from 2021. In 2021 ROCE was nominal 0.7% which has decreased massively to negative 5.7%. This is due to incurring loss before interest and taxes. This mean WCL is generating negative return to its investors.

Return on Asset analysis shows that WCL were able to generate negative 5.5% return against the investment made on its assets in 2022 compared to the same negative 0.6% in 2021. This shows that WCL were not efficient enough to generate positive return utilizing its assets. Furthermore, efficiency has dropped further in 2022.

Return on equity also shows negative performance. ROE in 2021 was negative .9% which drastically dropped to negative 9.1% in 2022. This means WCL management were not able to generate any return on the equity invested by the shareholders. Rather their investment has been declined by nearly 10%.

Efficiency ratios of the entity:

Efficiency ratio aims to show how efficient an entity is in case of generating revenue utilizing its assets. Efficiency ratios shows that in both 2021 and 2022, WCL were able to generate satisfactory amount of revenue utilizing its assets. Asset turnover in 2022 increased to 107% compared to 95% in 2021. This is very impressive financial performance by WCL.

However, analysis of net asset turnover shows similar outstanding performance result. From the analysis it appears that net asset turnover in 2022 is 176% whereas the same for 2021 is 134%. This means WCL has shown massive improvement in efficiency in utilizing its resources during the year 2022.

Revenue and margin analysis of the entity:

Analysis of the revenue shows that WCL has earned revenue of 5,473,861,929 which is 20.3% higher compared to the revenue generated in 2021. This is outstanding performance by WCL. However, it is not clear whether the revenue increase is due to price increase or volume increase or both.

Despite impressive amount of revenue and revenue growth, WCL has very poor gross margin. GP% in 2022 was 12.6% which was 14.8% in the year 2021. This shows that GP% has decreased in 2022. WCL should aim for increasing the GP% as declining and poor GP% will eventually lead to negative gross margin.

Although WCL has slight decrease in GP%, it has massive decline in net profit margin in 2022. Its net profit margin for 2021 was negative 0.7% which has been calculated as negative 5.2% in the year 2022. This shows that operating cost has increased in the year 2022 compared to prior year. WCL were unable to control its cost in current year.

Answer to the Question# 3(b):

Ethical issues involved:

From the analysis of the financial statements and findings from due diligence, several ethical issues were identified:

1. **Intentional misstatements in the financial statements:**

   WCL has reported redeemable preferred shares as share capital and reported under equity. This might have been done intentionally to show lower gearing of the company and improved financial ratios. Furthermore, it has been identified that management has hidden intercompany loan and short-term bank borrowing within intercompany payables and trade payables respectively to disguise actual financial position and hide liquidity risks.

2. **WCL financial statements includes undisclosed trojan horses:**

   Due diligence report identified that in case of company ownership or control changes, interest rate on bank and intercompany loan will increase significantly. They have made agreement such a way that these conditions will trigger only when control changes. This are financial trojan horses. This may have done intentionally by the management. Due diligence has identified this financial trojan on bank loan and intercompany loans. However, there might be some other trojans hidden within the financial statements. GV should perform further due diligence to identify the hidden trojans that might trigger once it acquires control of WCL. Specially it should look into the factory rental agreements which is expiring in 15 months, but no actions have been taken to renew the agreement.

Answer to the Question# 3(c):

Recommendation to GV:

Following actions are recommended to GV:

- Company has poor financial performances and negative returns. This might not be a worthwhile investment for GV and should discard the investment option unless GV has any plans to restructure the business.
- Review the financial statements more thoroughly to identify potential misstatements within the financial statements.
- Perform further due diligence to identify potential trojan horses hidden with in the financial statements. It should review all sorts of contracts with external parties including all existing intercompany.
- Confirm with existing WCL management regarding the reasons behind not initiating factory rent renewal procedures yet.
- Perform going concern assessment of the entity for significant amount of accumulated loss. Furthermore, it should consider the impact on company going concern if the factory rentals are not renewed.
- Review the reasons for low gross profit and increasing operating expenses.

Answer to the Question# 4(a):

Identification and assessment of risk of material misstatements:

From the analysis of the information identified, following risks has been identified:

a) Incorrect recognition of revenue

SBCL has recognized revenue when invoice has been generated. Instead, it should have been recognized revenue based on percentage of completion method. However, even if POC method is applied, there are risks that SCBL might have not recognized revenue properly. Under the POC method, revenue is recognized at the proportion of cost incurred from total expected cost to be incurred. Cost incurred might have provisional costs where lots of assumptions are involved. In case of wrong assumptions, cost might be misstated leading to misstatement of revenue.

b) Management override of control

Management is responsible to put appropriate controls within the organizations. However, they have authority to override the control. Management might take this opportunity to misstate the financial statements intentionally.

c) Overstatement of project and administrative expenses

Project cost and administrative cost might be overstated with intention to increase revenue reported. Provisional expenses might be overstated due to incorrect assumptions used. Furthermore, cost of abnormal rework in construction site might be included as part of project cost.

d) Risk of loss of reputation due to inferior work down by sub-contractors

SBCL engages many subcontractors in its own construction projects. Quality delivery and on time delivery will be very much influenced by the performance of this sub-contractors. In case of inferior quality of work done by a sub-contractor, SBCL's reputation will be at risks. Furthermore, delay caused by these sub-contractors may lead to delay in project delivery and missing the variable considerations. Furthermore, these sub-contractors may adopt unethical means to complete the work assigned to them. This might lead to risk of negative reputation as well as financial penalty.

Designing audit procedures to address identified risks:

1. ***Incorrect recognition of revenue***

- ✓ Understand revenue recognition policies and confirm compliance with accounting standards.
- ✓ Understand contracts with the distributors.
- ✓ Analyse the monthly sales statements.
- ✓ Understand the how revenue transactions are initiated, processed, recorded and reported.
- ✓ Perform walkthrough with revenue transactions.
- ✓ Increase samples for test of control.
- ✓ Perform cut-off testing on the revenues by detail testing of invoices, proof of delivery, dispatch note, contract terms per agreement with customers.

2. ***Management override of control.***

- ✓ Inquire employees to understand whether there is pressure from management.
- ✓ Understand the area of risk for management override of control.
- ✓ Perform journal entry testing to identify journal posted by senior management personnel.
- ✓ Confirm non-existent receivables and/or revenues has not been recorded by management in the general ledger.

3. ***Overstatement of project and administrative expenses.***

- ✓ Obtain management budget for the project and compare the budgeted expenses with actual.
- ✓ Obtain and confirm understanding on the difference between budget vs actual expenses.
- ✓ Review the assumptions used in recognizing provisional revenue.
- ✓ Confirm abnormal costs are not included within the project costs.
- ✓ Identify and test the controls around expense recognition, cost allocation and financial reporting of these expenses.

4. ***Risk of loss of reputation due to inferior work down by sub-contractors.***

- ✓ Obtain list of subcontractors and review their responsibilities.
- ✓ Review subcontractor engagement process.
- ✓ Identify the KYC information for these sub-contractors.
- ✓ Review the agreements with the sub-contractors
- ✓ Inquire management regarding dispute with the sub-contractors.
- ✓ Inquire the sub-contractors regarding their understanding of assigned work.
- ✓ Check the payment documents to these sub-contractors.

Answer to the Question# 4(b):

Guidance to management for complying IFRS:

- Application of exchange rate on contract value

  SBCL has not properly recognized the contract value. It kept revaluating the contract value with revised exchange rate. However, SBCL should recognize the contract value with exchange rate of the day agreement has been signed. In case of difference between invoice amount and contracted value, SBCL should recognize exchange gain or loss.

- Consideration of variable consideration
  Variable considerations are considerations paid to SBCL on condition. If SBCL can meet these criteria, variable considerations should be recognized as part of total consideration. SBCL should assess whether it will be able to meet the criteria to become eligible to get the variable consideration. In case it is probable, SBCL should recognize variable consideration together with fixed consideration and recognize revenue on POC method applied on total consideration. If meeting the criteria is not probable, SBCL should ignore the variable considerations for contract value and revenue recognition.

- Recognition of revenue based on percentage of method:
  SBCL is currently recognizing revenue when invoice is issued to the customers. Rather it should recognize revenue based on POC method. Under the POC input method, revenue should be recognized in proportion to total cost incur of the expected total cost to complete the project. When the costs are incurred, cost of revenue will be recognized and in proportion revenue will be recognized. In case of unbilled revenue, contract asset will be recognized. Billing will reduce contract asset and increase trade receivables. In case cash received in excess of work performed or revenue recognized, a contract liability should be recognized.

- Cost allocation on overhead from forklift:
  Forklift is the internal asset of SBCL. SBCL should not charge any cost excess from the overhead it incurs. Which means SBCL should only charge the depreciation expense to the project. It should not charge cost of renting from external sources.

Answer to the Question# 4(c):

Course of action on independence issue:

The team member has informed that his father is currently working in SBCL as HR Executive. This creates an independence threat. However, the father of audit team member is not related with financial reporting roles and does not seem to have decision making authority. Therefore, employment of his father will not create a self-interest threat to the team member as well as for the audit team. In this case the audit team member might be allowed to remain part of the audit team keeping him away from HR related audit procedures.

However, it should be noted that the audit team member nevertheless may be intimidated by the management for his father's job. From this consideration, it would be preferable to remove from the audit team.

Answer to the Question# 4(d):

Impact of prior year audit qualification in current year audit report:

According to the international auditing standard, If the auditor's report on the prior period included a qualified opinion, and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:

a. Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

b. In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

According to the information provided, there is a dispute with customer over an invoice which remains unpaid. As the invoice is yet to be settled, it can be assumed that the dispute is not over. Therefore, bad debt allowance is required to be recognized as per the policy. However, if the client confirms that the amount is due from him, it can be concluded that the receivable has not became uncollectable. However, if confirmation could not be obtained, SBCL should record a provision.

If management do not keep provision, matter will continue from prior year. In that case matter on which qualification was issued in prior year will continue in this year as well. Therefore, current year audit report will be qualified one. However, if management keep adequate provision, an unqualified audit opinion will be issued.

Answer to the Question# 5(a):

Climate Related Risks and their effect on financial reporting:

Climate-related risks consist of both physical risks resulting from the direct impacts of climate change (such as extreme weather events) and transition risks related to efforts to transition to a lower-carbon economy (such as carbon pricing). These risks can lead to significant business impacts. Depending on the facts and circumstances of an entity, climate-related issues may have an impact on specific audit areas such as the valuation of assets; assumptions used in impairment testing; depreciation rates; decommissioning provisions and other similar liabilities; and financial risk disclosures.

In case of NDL, some climate related risks can be identified. For example, Milk production has decreased due to heatwave. Cows became ill and milk quality was also inferior. Furthermore, milk chillers are requiring additional cooling. All these have direct impact on NDL financial statements. First is a decrease in revenue due to lower milk production. Medical expenses have increased to treat the cows. Furthermore, utility expense has increased for additional cooling efforts required for the chiller.

Recommended audit procedures for climate Related Risks:

- ► Obtain and understanding of the business to identify climate related risks.
- ► Consider the nature of the entity, its business model etc. that might be affected due to climate related risks.
- ► Obtain assessment of independent expatriates and involve experts where needed.
- ► Understand the financial impact of the climate related risks.
- ► Understand the legal framework and confirm existence of any environmental laws that need to be complied with.
- ► Review the useful life of assets that the prone to climate related risks.

Answer to the Question# 5(b):

Auditor response on negative media news on client:

When auditor identifies negative media news about its client, it needs to consider the news in risk assessment of the client, client acceptance or continuance process, based on the intensity and importance of the news, auditor shall determine its response. Auditor response can be different in different phases:

- ► **During Client Acceptance or continuance procedures**
  If the negative news comes up when auditor is considering accepting appointment or reappointment with the client, it should consider the news in the decision. If the news led to reputation risks by affiliating with the client, auditor might refuse to accept the audit engagement. If the news is not very serious, it should review how this going to impact the audit. If required, it should inquire management regarding the news and understand client position or explanation.

- ► **During Audit:**
  If the news is published at the beginning of audit, it should include this news to identify and assess the risks. If required, it should update its audit strategy memorandum and design new audit procedures. However, if the news comes at the middle of audit or at the time of substantive tests, it should update its audit plan and add new procedures. Furthermore, it may decide to increase sample size. Auditor should also consider the impact of the news on the company and its stakeholders. In case the news has significant impact in the financial statements, audit report might need to be modified. Furthermore, if required, auditor might decide to resign from the engagement.

Answer to the Question# 5(c):

Audit risks in NDL operation:

Overstatement of expenses:

NDL has been purchasing grass at higher price than fair market value. There is a chance that NDL might intentionally overstate the expenses. NDL also purchases packaging materials and raw materials from parties decided by the operation manager. There is a chance that operation manager may have applied unfair means for selecting the parties. Also, there are risk of fraud within this purchase transactions.

Overstatement of Assets

Instead of measuring at fair market value, NDL has been measuring the biological assets at price when demand surges significantly. Furthermore, it has occupied government land and build cow shed thereon. These lands and cow sheds have been reported as asset in the financial statements. These assets are not owned by NDL and therefore should not be reported as assets.

Threat to Going Concern

Intentionally overpaying for expenses will lead to decrease in profit. This will lead to loss and eventually will lead to threat to going concern. Furthermore, revenue has been decreased. Therefore, profitability will decrease. If this continues to happen, NDL will face threat to going concern. Moreover, if government evicts the illegal occupancy of the government land, NDL will face serious disruption in daily operation. This might also lead to going concern.

Recognition of revenue from distributor.

NDL sells its dairy products to a distributor. Revenue from this distributor might have been recognized improperly. Furthermore, revenue recognition criteria may have not been met.

Response to identified audit risks in NDL operation:

For the identified audit risks, auditor should perform following procedures:

Overstatement of expenses:

- ► Understand the purchase process and identify the controls.
- ► Identify key controls and perform test of controls.
- ► Inquire management for over payment for purchases.
- ► Check the source documents including invoices, agreements to confirm transactions has occurred and are complete.
- ► Inquire operation manager for selected designated parties only.
- ► Inquire the supplier regarding any unfair claims by the operation manager.
- ► Obtain balance confirmation from the suppliers.

Overstatement of Assets

- ► Analysis the difference between regular fair market value and price during Eid.
- ► Confirm whether the requirement of IAS 41 has been complied with.
- ► Confirm whether cow sheds and related lands meet the recognition criteria under IAS 16.
- ► Perform physical inspection of the disputed land.
- ► Check the ownership documents for the reported lands.
- ► Check the useful life of the cow sheds and recalculate the carrying value.

Threat to Going Concern

- ► Obtain a going concern assessment from NDL management. If they have not done it check for trigger point for threat to going concern.
- ► Analyse the financial statements and obtain explanation from management for inconsistent or significant fluctuation from prior years.
- ► Analyse the impact on NDL operation if government evicts from the disputed land.

Recognition of revenue from distributor.

- ► Obtain understanding of revenue arrangements.
- ► Check the agreement with the distributor and identify the revenue recognition point.
- ► Confirm revenue has been recognized at recognition point and complied with IFRS.
- ► Perform test of control related with revenue activities and financial reporting.
- ► Perform substantive tests on revenue transactions and check source documents.
- ► Obtain confirmation from the distributors for outstanding balances.
- ► Match the collection from customer with bank receipts and invoices issued to the distributor.

Answer to the Question# 5(d):

Ethical issues in NDL operation:

There were several ethical issues identified from the operation run by NDL. First, NDL claims it produces milk in its own dairy but in reality, it purchases from outside through an external party. NDL does not oversee the milk production of those external facilities. This is an unethical practice. Customer relies on NDL, but it violated their trusts. As auditor, this should be brought to attention of management.

Second, NDL buys grass at a higher rate from the market in order to ensure consistent supply for the cows. However, this practice pushes other dairy firms to purchase at higher price as well which leads to incremental cost for these small firms. Accordingly, these small firms face loss and eventually wind up their business. As auditor we should bring this for management attention.

Third, it has constructed its shed by occupying government lands and part of cannel. These lands and sheds have been reported in its financial statements. That means it has reported an asset which it does not own. This is an unethical behaviour by NDL. As auditor we can recommend derecognizing the assets. Otherwise audit report have to be modified.

Finally, the cows have been measured at the price that it might fetch during Eid-il-Adha when demand for cow surges. Cow price will be higher at the time of Eid-Ul-Adha. Therefore, this price will not be fair market value. NDL should assess fair market value and recognize the biological assets with fair value. We should recommend to management to measure their biological assets at fair market price.

---The End---